PRESIDENTS OFFICE

REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT

FORM TWO MOCK EXAMINATION 2026

MARKING GUIDE BUSINESS STUDIES

1.

(I)	(II)	(III)	(IV)	(V)	(VI)	(VII)	(VIII)	(IX)	(X)
C	C	C	B	C	D	A	A	C	D

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LIST A	(I)	(II)	(III)	(IV)	(V)
LIST B	H	B	G	A	F

3. i) Capital: Refers to Man-made resources used in production of goods and services example Tools, Machinery, building etc.

ii) Skilled Labour:
It the type of Labour which require Special training, education or expertise example Engineers, Teachers, Doctors etc.

iii) Opportunity Cost.
Refer to the second best alternative which your forgone after making a choice example choosing Reading instead of Music; opportunity cost is Music.

iv) Direct Production
Refer to the type of production which a person produce goods for personal Consumption or may produce maize for Family use only.

v) Loan:
It the amount of money borrowed from the lender (financial institution, Banks or Individual with the agreement of repay it at agree time and interest.

4. Scope of Business Studies / Components
(i) Entrepreneurship
(ii) Economics
(iii) finance and accounting
(iv) Marketing
(v) Business management
(vi) Information technology
(vii) Business law & regulations.

5. Sources of funds for small businesses
(i) Loans
(ii) Personal saving
(iii) funds from family and friends
(iv) Deferred Payment
(v) Government grants and loans
(vi) Partnership
(vii) Saving and Credit Cooperative organization
(viii) Trade Credit.

6. Importances of Production
(i) Job creation
(ii) Improves the Living Standard
(iii) Creation of ~~jobs~~ goods and Services to satisfy human needs and wants
(iv) Increase government Revenue
(v) Boast Economic development.

7. Students should explain the relationship between the given terms with business Studies for each terms 3 marks - Total 15 marks

8. Characteristics of an entrepreneurship

(I) Creativity
(II) Innovativeness
(III) Risk taking
(IV) Curiosity
(V) Perseverance
(VI) Vision
(VII) Need for achievement
(VIII) Networking
(IX) Risk taking
(X) Hard working

9. Definition of Small business

This has 5-49 employees and capital of 5 to 20 Million may be owned by Individual, Group, family members or public with common interest in ensuring pre-determined goals are achieved.

* Importance of Small business

(I) Contribution to the economy
(II) Creates employment
(III) Foster equitable income distribution
(IV) Supplier to Large businesses
(V) Community development
(VI) Product available in Remote areas.